

EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE - 18



**INDIAN
ECONOMY - 4**



- The Government of India has announced the restoration of benefits under the Remission of Duties and Taxes on Exported Products (RoDTEP) Scheme for exports made by Advanced Authorization (AA) holders, Export-Oriented Units (EOUs) and units operating in Special Economic Zones (SEZs).
- The benefits will be applicable for all eligible exports made from 1st June 2025 onwards. This scheme is operational since 1st January 2021. However, the benefits ended on 5th February 2025. Now, the benefits are reinstated.
- This scheme is designed to reimburse exporters the expenditure for embedded duties, taxes and levies that are not otherwise refunded under any other existing scheme. It is compliant with the WTO norms.

This is expected to boost India's export competitiveness in global markets.

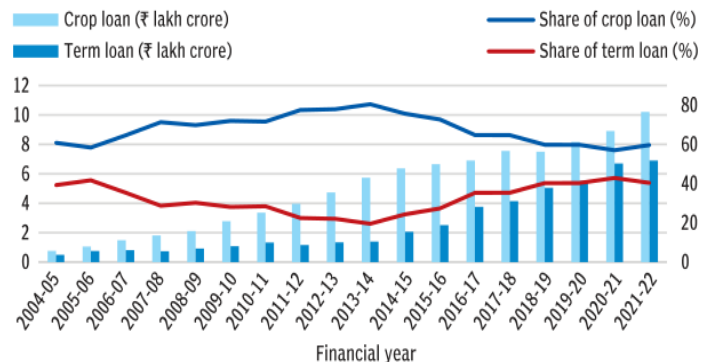


- Expansionary Monetary Policy, also known as an Accommodative Monetary Policy is a strategy used by a Central Bank like the RBI to increase the supply of money in the economy in order to stimulate economic growth.
- It is typically been to combat low inflation, high unemployment or to counteract a recession. The tools for this policy includes lowering interest rates and decreasing reserve requirements.
- RBI can reduce the SLR/CRR as part of the Expansionary Monetary Policy.
- Similarly, the Monetary Policy Committee can reduce the repo rate, the rate at which the RBI lends money to commercial banks in the short term.

What is the contribution of credit by the Scheduled Commercial Banks for Agriculture and Related Industries?

Crop loans constitute around 60% of the total loans in agriculture.

Crop and term loan shares in agriculture



Source: State Focus Paper 2023-24 of the NABARD

- Scheduled Commercial Banks provide majority of the credit (70-80%) for agriculture and related activities.
- State-Central Cooperative Banks, DCCBs and PACS account for around 15% of the credit and the remaining around 5% is provided by RRBs.
- One of the key roles of District Central Cooperative Banks (DCCBs) is to serve as a link between the State Cooperative Banks at the apex level, and the PACS at the grossroot level.
- DCCBs provide necessary funds to PACS, which in turn offer agricultural rural credit to the individual farmers.

What do you know about the Dollar's Supremacy in the International Financial System?



- As per researchers, the dollar's share in export invoicing is at around 54% against 30% and 4% for euro and renminbi respectively.
- The US dollar accounts for 58% of globally held Forex Reserves against 30% for the euro and 2% for renminbi respectively.
- The dollar is by far the most convenient currency to trade in because the global financial system is geared to it, including clearing houses and dollar swap lines.

BRICS accounts for 35% of global GDP. Recently, U.S. President has generated some anxiety by threatening to slap 100% tariffs on the BRICS economies, if they pursue their idea of creating an alternative currency or supporting any payment system other than the dollar.



- Certificate of Deposits are negotiable money market instruments issued by Banks with maturities ranging from seven days to one year. Financial institutions, on the other hand, are allowed to issue CDs with maturities between one and three years.
- They are rated by approved rating agencies. This rating enhances their credibility in the secondary market depending on the demand.
- The issuance of CDs by Banks is primarily driven by the need to manage their funding costs and credit to deposit gaps.
- CDs offer multiple benefits - Trading opportunities, managing maturity gaps and offering liquidity, among others.

CDs are a cost-effective alternative to bulk term deposits. CDs allow Banks to replenish mature deposits ensuring smooth liquidity management.



- The World Bank updated the Global Poverty Line to the metric of \$3 per person per day, (based on 2021 purchasing power parity).
- The Global Poverty Line of World Bank reflects that of the world's poorest countries and captures the monetary capacity needed to afford the three basics – roti (food), kapda (clothing) and makaan (shelter).
- The Bank based the new \$3 poverty line on the median national poverty line of 23 designated low-income countries, in fact, it reflects the poverty line of Burkina Faso, where two-thirds of the population live below it.
- The global number of people living in extreme poverty has risen by 125 million to 838 million under the new poverty line.

India's extreme poverty level has dropped to 5.25% in 2023, a sharp decrease from 27.1% in 2011-12.



- According to the transfer pricing rules in India, income arising from international transactions or specified domestic transactions between Associated Enterprises (AE) should be computed using the arm's-length price principle.
- The transfer pricing rules apply to those transactions that fall above a threshold in terms of deal value.
- India's transfer pricing rules provide a detailed statutory framework for the computation of reasonable, fair and equitable profits.
- Relationships falling under the AE category include direct/indirect participation in the management, control, or capital of an enterprise by another enterprise. They also cover situations in which the same person participates in the management control or capital of both enterprises.

WAYS AND MEANS ADVANCES



- It is a facility for both the Centre and the States to borrow from the RBI. These borrowings are meant purely to help them to tide over temporary mismatches in cash flows of their receipts and expenditures. They are not a source of finance.
- Section 17(5) of the RBI Act, 1934 authorises the Central Bank to lend to the Centre and State Governments subject to their being repayable “not later than three months from the date of the making of the advance”.

HAVE CLARITY ON VARIOUS ADVANCES

1

SPECIAL WMA OR SPECIAL DRAWING FACILITY

- It is provided against the collateral of the Government securities held by the state.
- The interest rate for SDF is one percentage point less than the repo rate.

2

NORMAL WMA

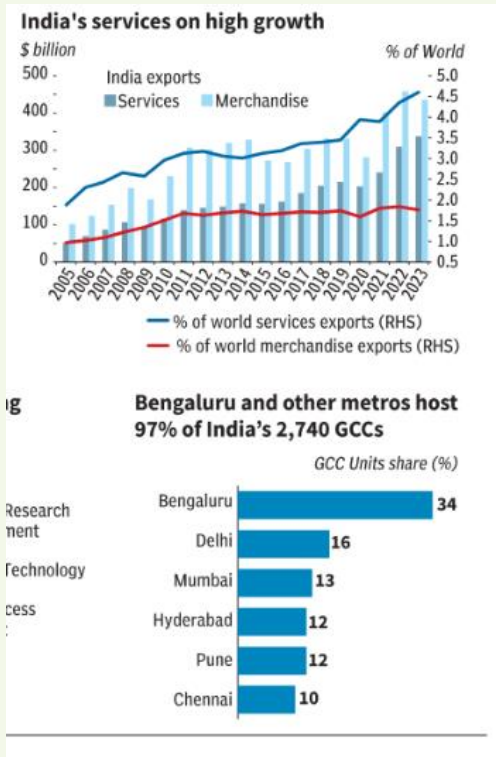
- After the state has exhausted the limit of SDF, it gets normal WMA (clean advances).
- The number of loans under normal WMA is based on a three-year average of actual revenue and capital expenditure of the State.
- Interest rate on WMA is the RBI's repo rate.

3

OVERDRAFT

- The Governments are allowed to draw amounts in excess of their WMA limits also.
- The interest on such overdraft is 2% points above the repo rate.
- A State can be in overdraft for 21 consecutive working days and 50 working days during a quarter.

Growth rates of export of services is quite robust for the past five years.



Under IBC, when the delay takes place, the recovery in percentage terms reduced.

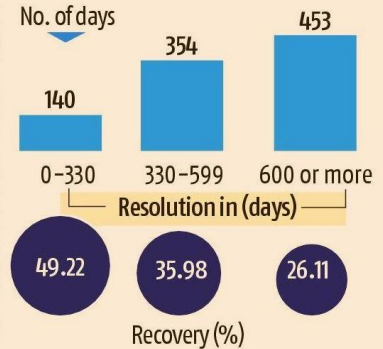
TRACK RECORD

Resolution plans approved under IBC

2017-18	19
2018-19	75
2019-20	132
2020-21	119
2021-22	144
2022-23	189
2023-24	269

Source: IBBI

DELAYS AND RECOVERY



We receive the highest Sovereign Wealth Funds (SWFs) from Singapore.

TOP SOVEREIGN WEALTH FUNDS (SWFs) WITH INDIA INVESTMENTS

SWF	Country	Value of holdings (₹ cr)	
		Dec '22	Dec '23
GIC	Singapore	162,469 	214,100 
Norges	Norway	71,508 	86,628 
KIA	Kuwait	13,011 	9,019 
Gamnat	Singapore	3,516 	6,336 

Note: Data as on December 31, 2023

Source: Primeinfobase.com

Our market capitalisation has grown significantly in recent years.

THE FASTEST AMONG TOP 10

	Mcap (\$ trn)	One-year change (%)
US	55.65	25.29
China	9.40	-10.06
Japan	6.42	9.63
Hong Kong	5.47	1.80
India	4.98	49.32
France	3.45	3.00
UK	3.29	7.32
Saudi Arabia	2.85	-1.95
Canada	3.06	9.45
Germany	2.52	4.11

STATUS CHECK

g Space

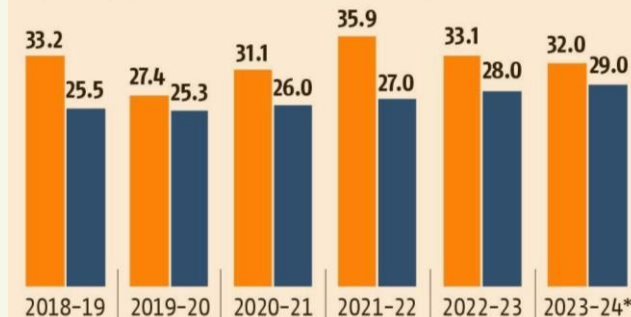
	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24 (RE)	FY25 (BE)
Off-Budget borrowings/ Extra Budgetary resources (₹ crore)*	NA	NA	79,167	88,095	162,602	148,316	121,301	751.8	NIL	NIL	NIL
Capex (₹ trillion)	1.97	2.5	2.8	2.6	3.1	3.4	4.1	5.9	7.4	9.5	11.1
Fiscal deficit** (% of GDP)	4.1	3.9	3.5	3.5	3.4	4.6	9.2	6.7	6.4	5.8	5.1

RE: Revised Estimate; BE: Budget Estimate; *The government made public the extra budgetary resources in 2021-22 from 2016-17 onwards. The data prior to that is not available in the Budget documents; **Fiscal deficit would have been more after incorporating the off budget borrowings
Source: indiabudget.gov.in

In spite of diversion of sugar cane juice towards production of ethanol, the sugar production is consistently higher than the domestic consumption.

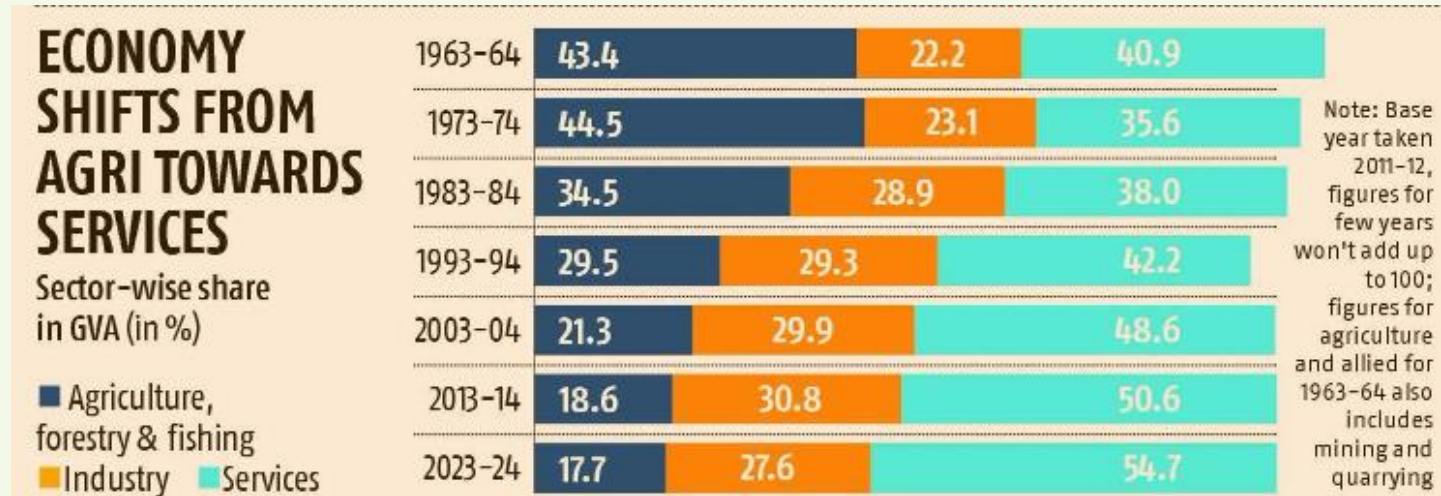
TOO SWEET

Sugartally (mt) ■ Production ■ Consumption

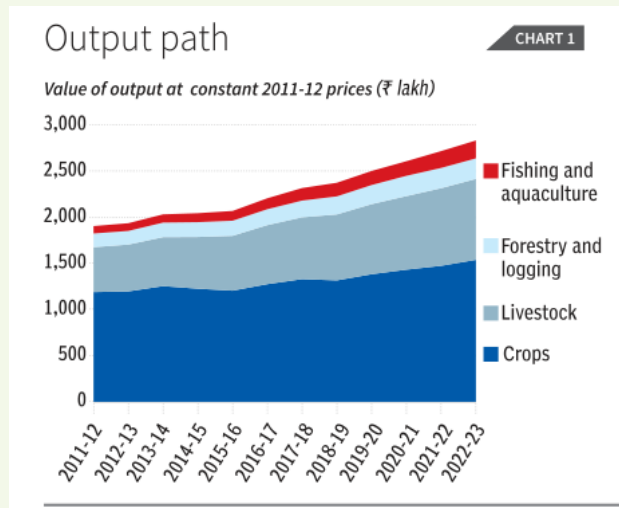


Note: Sugar season runs from October to September; *Estimated
Source: Sugar Traders and Industry

The share of agriculture, forestry and fishing in GVA is still at around 18%.



In agriculture and allied services sector, the shares of fishing and livestock are on increase.



The CAGR of fruits and vegetables is 3.8% in comparison to 2% for cereals.

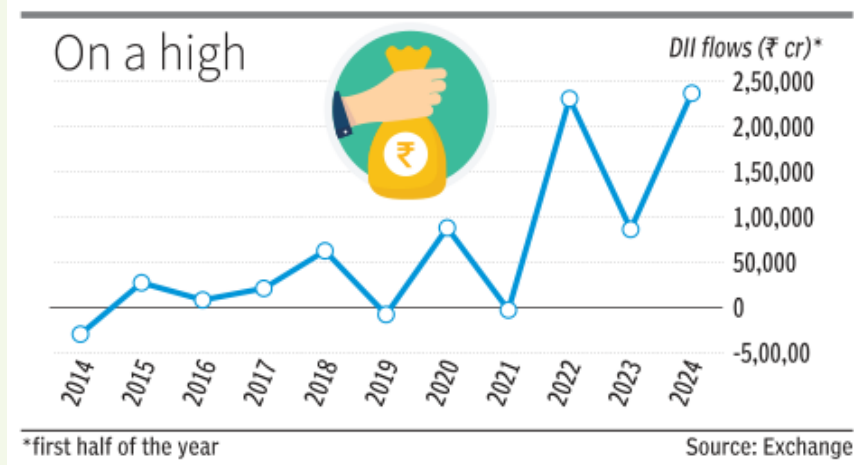
Production mix

TABLE 1

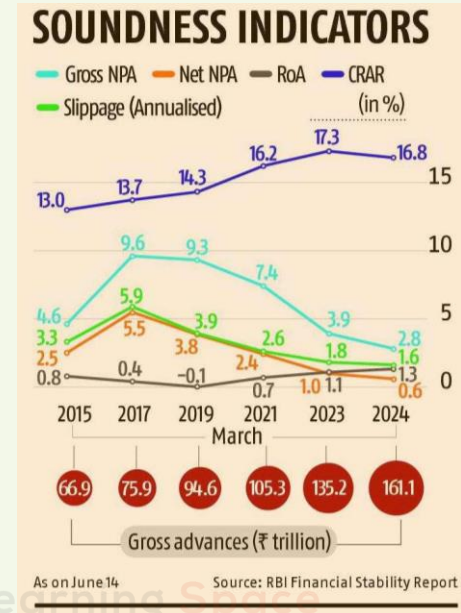
Compound annual rates of growth of crop output by category, 2011-12 to 2022-23

	Share of total crop output in 2011-12	CAGR (%)	Share of total crop output in 2022-23
Cereals	28.2	2.0	27.2
Pulses	4.4	3.9	5.2
Oilseeds	9	2.6	9.2
Sugar crops	6.4	2.8	6.6
Fibres	6.9	-0.7	4.9
Drugs & narcotics	3.2	0.8	2.7
Condiments & spices	3.9	5.4	5.4
Fruits & vegetables	24.1	3.8	28.2
Other crops	7.7	-0.7	5.6
By-products	5.8	0.2	4.6
Kitchen garden	0.4	1.8	0.4

Domestic institutional investors increased their investments significantly, due to which - now the stock market in India is less dependent on foreign portfolio investments.



Now the Indian Banks present robust health - very low gross NPAs, positive Return on Assets and Capital to Risk-weighted Assets Ratio (CRAR) much higher than that stipulated.



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